

FREE INVESTOR GUIDE

The CMHC MLI Select Investor Guide

Everything you need to understand before acquiring a multi-family property in Edmonton. Program mechanics, investor requirements, deposit math, and the full buying process — in plain language.

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01 What Is CMHC MLI Select?

Program overview and entry mechanics

CMHC MLI Select (Multi-Unit Mortgage Loan Insurance Select) is a federal mortgage insurance program that enables investors to purchase new-build rental properties with 5+ units with significantly better financing terms than conventional lending. We recommend the 6-10 plex as the optimal entry point for first-time multi-family investors.

Instead of the 20-25% down payment required on conventional investment properties, MLI Select reduces your entry cost to 5% down, while extending your amortization to 50 years — which dramatically lowers your monthly debt payment and improves projected cash flow.

The program uses a points-based system across three social outcome pillars: Affordability, Energy Efficiency, and Accessibility. Projects reaching 40+ points unlock the maximum financing terms.

MINIMUM DOWN

5%

5% deposit threshold

AMORTIZATION

50 yr

Extended amortization

MAX FINANCING

95%

Up to — CMHC terms apply

WHY 50-YEAR AMORTIZATION MATTERS

Conventional investment property amortization is capped at 30 years with 20% or more down. MLI Select unlocks 50 years. The extra 20 years stretches debt service across more time, freeing up meaningful monthly cashflow per asset. Across 5 to 6 assets, this compounds into significant passive income that a conventional structure cannot achieve.

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02 Why Edmonton

Comparing Alberta to Ontario / BC for MLI Select

CRITERION	ONTARIO / BC	EDMONTON, ALBERTA
MLI Select Leverage at 5% Down	Deposit pushed 2-4x higher	Fully accessible
Minimum Down (MLI)	20–25% conventional	5% MLI Select
Amortization	30 years conventional	50 years
Provincial Sales Tax	13% HST (Ontario)	None
Land Transfer Tax	Up to 2% + Toronto LTT	None
Development Charges	\$50K–\$130K per project	None
Property Condition	25+ yr old, repairs required	Brand new, warranty included

Why the leverage shifts

MLI Select is open in every province — same program, same rules. The deposit is not fixed at 5%. CMHC raises the required down payment until the project clears a 1.10 DSCR. Ontario and BC prices are 2-3x Edmonton with similar rents, so CMHC pushes the deposit up — often 2x to 4x the Edmonton deposit. Program is open everywhere; the leverage advantage is closed in Ontario and BC.

Why Alberta works

Edmonton rents relative to purchase price produce a DSCR that qualifies for 95% MLI Select financing at 5% down. Properties are brand new construction — covered under Alberta New Home Warranty and built to CMHC specs including separate utility meters for every unit. Edmonton is Canada's fastest-growing major city by population (2023-2024), with vacancy near 4% in target corridors.

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03 Investor Requirements

Who qualifies and what's needed at the table

CMHC MLI Select is open to Canadian borrowers — investors, developers, and property managers — acquiring 5+ unit residential properties. You do not need high personal income. CMHC qualifies the loan primarily on the building's Debt Service Coverage Ratio (DSCR of 1.10) — the property's projected rental income must cover at least 110% of its debt obligations. Offered inventory clears DSCR 1.15-1.27, comfortably above the 1.10 minimum.

- ✓ 5% deposit on hand at time of purchase
- ✓ Additional 5% in liquid form as a contingency reserve
- ✓ Net worth of at least 25% of the total project cost
- ✓ Canadian assets only count toward the net worth calculation

04 How the Deposit Math Works

Cash required at table for a 6-plex vs 8-plex

Deposit requirements are 5% of the total purchase price. Closing costs (legal fees, title insurance, adjustments) typically add \$8,000-\$15,000 on top.

6-PLEX

\$80K-\$90K

5% of \$1.6M-\$1.8M purchase
+ \$8K-\$15K closing costs

8-PLEX

\$110K-\$125K

5% of \$2.25M-\$2.45M purchase
+ \$8K-\$15K closing costs

Cash flow figures on the inventory page are projected estimates based on pro-forma analysis, net of property management fees. Actual results will vary. Consult your mortgage broker and accountant before making any purchase decision.

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05 What's Included with Every Property

Inclusions negotiated with the Builder and built into the APS

Every available property in our inventory comes with a bundled package of inclusions — negotiated with the Builder and built into the purchase agreement.

- ✓ **Preferred Mortgage Broker Partner**
Vetted commercial mortgage specialist handles MLI Select submission
- ✓ **Appliances Package**
Included in every unit
- ✓ **Window Coverings**
Included in every unit
- ✓ **Landscaping**
Completed and included
- ✓ **CMHC-Compliant Build**
Separate utility meters for every unit, built to program specifications
- ✓ **Alberta New Home Warranty Program**
Up to 10 years structural coverage on every unit
- ✓ **Property Management Partner**
Licensed Edmonton property management available from completion

Full terms and conditions, including details of these provisions, will be outlined in the Agreement of Purchase and Sale.

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06 The 9-Step Buying Process

From pre-qualification to project completion

PHASE 1 — PRE-APPROVAL

01 Pre Qualification

Initial consultation to assess net worth, available capital, and investment goals. Confirm fit with MLI Select requirements.

02 Allocation Request

A worksheet is submitted to the Builder on your behalf to formally request purchase allocation for your selected property.

03 Due Diligence

Preferred mortgage broker qualifies both the investor and the project — reviewing cash flow projections and CMHC eligibility.

PHASE 2 — SECURE THE DEAL

04 Lender Satisfied

The lender issues a Letter of Intent confirming the financing structure and mortgage terms.

05 Deal Firmed

First deposit submitted to the Builder. Agreement is now conditional on CMHC approval and project viability as per the APS.

06 CMHC Submission

Full application package submitted to CMHC. This stage typically takes 60-90 days for review and Certificate of Insurance (COI) issuance.

PHASE 3 — CLOSE & LAUNCH

07 CMHC Acceptance

CMHC approves the project. Your lawyer is introduced to begin preparation for closing.

08 Pre-Leasing

Property management begins marketing and leasing units before completion. The goal is maximum occupancy at handover — actual tenancy levels will vary by project.

09 Project Completion

You close on the property. The building is professionally managed under the 50-year amortization structure. Actual occupancy at closing will depend on market conditions and project timing.

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07 Key Risks to Understand

Honest framing of what can vary or not work out

CMHC approval is not guaranteed.

If the project is declined, your deposit is returned per the APS. Review your specific agreement with your lawyer.

Tenancy at closing is not guaranteed.

The goal is maximum occupancy at handover. Actual tenancy will vary by project and market conditions.

Cash flow figures are projections.

Actual returns depend on occupancy, rent rates, expenses, and financing terms at close. Past performance does not predict future results.

CMHC program terms may change.

Eligibility criteria, LTV ratios, amortization terms, and rates are subject to change at CMHC's discretion. Verify current terms with your mortgage broker.

NEXT STEP

Book Your Discovery Call

A 30-minute discovery call is where we match your available capital to the right property, walk through the current pro-forma, and build your acquisition timeline. No cost. No obligation.

Disclaimer: This guide is for general information purposes only and is based on assumptions. It does not constitute financial, investment, legal, or tax advice. Every purchase is unique. No guarantees or warranties are made regarding the accuracy or reliability of this content. Consult your lawyer, mortgage broker, and accountant before making any investment decision. CMHC MLI Select program terms, eligibility criteria, rates, and amortization periods are subject to change at CMHC's discretion — verify current terms with your mortgage broker. Kunal Sarhadi is a licensed real estate broker with Homelife Miracle Realty Inc. and is not a financial advisor or investment counsel.

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